SMCF II
Group Assignment
Group-8

FT272010	MISHA JHA
FT272070	POOJA SINGH
FT272022	NAMAN JAIN
FT272040	YASH KASHYAP
FT272029	DEVESH SETY

1. Case summary

Amar Chitra Kala is a recognised Indian Comic book publisher, they have been known for their learnings which are inclined to cultural and Indian influential figures. Recently they have been facing issues due to the changing consumer habits of teens and children as they have started to spend more time on OTT and social media. Covid 19 has also acted as a catalyst in the shift of audience preference towards digital content and channel wise market share of physical comics is declining at a fast pace. The competitors of ACK have been aggressively trying different content strategies to capture different market segments and increasing cost of paper is a concern as well for the company.

ACK has been adjusting towards the above issue by introducing ACK comics and Tinkle to engage the existing audience.

CEO of the company Preeti Vyas will have to now decide which strategy should she carry on? Either she can go with focusing on digital transformation by investing more in e-books, applications and marketing spends on amazon, alexa and google along with attractive subscription models such that the access of Amar Chitra kala is prevalent across all the channels. Or the company can expand the company case to teen and young adults who already have a touch point to the company and now can be engaged with new content strategies which are aligned with their existing tastes like Marvel, DC, mature comic genres and other short form and engaging content.

2. Brief Synthesis

Protagonist: Ms. Preeti Vyas (Chief Executive Officer)

Context:

- A consumer transformation where core consumers are shifting towards mature and visually appealing content.
- There's an increase in e-book sales but ACKPLs market share is small as compared to other players.

Decision Points:

- Digital transformation to align with new consumption trends.
- Broadening the audience base by appealing to teens and young adults.
- Keeping the ACKPL core value aligned i.e bring Indian Children Closer to cultural roots.

3. Identification of issues – with specific evidence:

- Kids who are aged between 7-14 in urban India, spend almost 3 hrs a day on social media, videos and games. That is ACKPL's real competitor key issue whereas the secondary issue is competition from traditional and contemporary comic publishers.
- There is an increase in e-book sales but ACKPL’s market share is small.
- By 2024, paid digital readership will become 25 times the print readership and even loyal readers have mostly to screens. This indicates a change in consumption pattern.
- There was a digital twist where the print losses remained unrecovered.
- E-book sales slightly rose during the pandemic but print losses from lockdowns still were not recovered
- Since print per production got more expensive, print demand was shrinking and squeezing margins from both the ends.
- People who grew up reading ACK comics and Tinkle got older and eventually they drifted towards Marvel, DC, Manga which lead to undercut of ACKPL's core mission of keeping children rooted in Indian Culture

4. Central Marketing issues or decision problems facing the protagonist:

Decision problem

1. First decision

- **Double down on digital expansion**
  The path involves of expansion of ACK comics and Tinkle app with digital first offering, interactive serialized storytelling and deeper analytics
  Pros:
  - It could mitigate rising paper cost
  - Tap into growing international consumers
  Cons :
  - It requires upfront significant investment in infrastructure and content creation

2. Second decision

- **Reimagining ACKPL for teens and young Adults**

In this path it requires to cater to the customers who has outgrown their current content by introducing science fiction , dark mythology and new genres

Pros :

- They can increase their target audience
- Recapture the already existing customer base

Cons :

- Hiring new story tellers
- Experimenting with new genres
- Diluting the core value

5. **Distinguish between core issues & secondary issues:**

Core issues :

1)Dramatic shift in consumer behavior

- Target customer engagement is low on social media - exhibit 10
- Their customer base is mostly online and digital and spend average time of 3 hours per day on social media, games and videos - page 4
- People who still engage in reading are shifting towards reading online
- Digital readership of AMCK was 25 times higher than its print readership

2)Choosing one of the paths

- Because of low funds we can only invest in either of the one underline decisions.
- Keeping the core value of the company same

3)Western competition

- Target consumer has outgrown in western comics and stories
- Western influence like marvel and DC
- Indian counterparts focusing on dark version of mythologies and edgy visuals

Secondary issues :

1)Economic Pressure

- Paper cost has increased significantly eating on the margin of the company and along with that declining sales and interest from the readers is doubling down on the profits of the company

2)Few consumer touch points

- There social media concentration is less and aren't targeting the audience

6. Proposed solution

We are going with the digital expansion

- Release short form content on instagram and youtube to engage target audience
    - Exhibit 10
- Fandom pages to target customers and parents to evoke nostalgia and have open discussions
    - Exhibit 10
- Focusing the content on the ACK comics and Tinkle app, since exhibit 5 shows revenue share by digital channel has increased in past five years
- Collaborating and releasing products with new age brands which cater to kids like firstcry, hamleys, happy meal etc.
- Expanding and releasing new special and collectors items to create pop culture and evoke nostalgia
- Collaboration with playschool and kindergarten to release story books for toddlers (2-4 years of age)

We believe that the second option will deviate the audience from the core value of connecting children to culture and it would dilute the brand in the long term. It also includes the cost of hiring a new mindset whereas in the first case we can expand using the current marketing team.